



Finance for the Professional I

FINC 612 – Fall 2021

Boone Bowles

Class Room:	Wehner 187
Class Times:	8:30-10:30 10:45-12:45
Office:	Wehner 360Q
Office Hours:	Mondays 1:00-3:00
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Teaching Assistant:	Khang Nguyen (khang.nguyen@tamu.edu)
Teaching Assistant Room:	Wehner 187
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1 Course Description

Firms face important value-relevant questions: Will the proposed project create or destroy value? Should we invest in robotics or enhance our labor force? Given limited resources, which of several projects should we select? How should we fund the expansion of our facilities? To answer these questions, firms quantify the effect of their decisions on firm value. In this course, we focus on fundamental financial concepts and develop skills in valuation to address these important questions. This course is intensive; we not only seek to understand financial concepts but work diligently to acquire important tools.

2 Objectives

The objectives of this course are (i) to provide a broad overview of corporate finance and (ii) to develop skills in valuation and financial decision making.

3 Materials

Required:	Corporate Finance, 5th edition Jonathan Berk & Peter DeMarzo	<i>Older editions are fine.</i>
Required:	Financial Calculator Common models include the HP 12c, HP 10b, and TI BA II.	
Required:	Microsoft Excel I will use a PC. Seek additional resources if you use a Mac.	
Recommended:	Wall Street Journal Student subscription for \$4/mo.	
Provided:	Incomplete Lecture Notes Pdfs can be found on my website.	

4 Schedule

Pre-Midterm		Post-Midterm	
Week	Class Dates	Week	Class Dates
1	8/2, 8/4	5	8/30, 9/1
2	8/9, 8/11, 8/13	6	9/6, 9/8, 9/10
3	8/16, 8/18	7	9/13
4	8/23, 8/26, 8/27	8	9/20, 9/22, 9/23, 9/24

mm/dd indicates mid-term and final exam dates.

This course is structured around eight modules or questions. The questions are listed below along with the accompanying textbook chapters and assignments. The first four questions are covered prior to the mid-term exam.

1. **What is a firm and what does it do?** Ch. 1, 3; Group Assignment 1
2. **How do I analyze financial statements?** Ch. 2, 8.2; Individual Assignment 1
3. **How do I value a bond?** Ch. 4-6; Individual Assignment 2
4. **How do firms value projects and make decisions?** Ch. 3, 7-8; Group Assignment 2
5. **What is the cost of capital?** Ch. 10-12; Group Assignment 3
6. **Debt or equity?** Ch. 14-16; Individual Assignment 3
7. **Can I practice some more valuation, please?** Ch. 18-19; Group Assignment 4
8. **How do I value equity?** Ch. 9; No Assignment

5 Grading

Final scores are determined using the rubric shown to the right. If you perform better on the final exam than on the midterm, I will discard your midterm and assign your final exam the combined weight. I will also drop the lowest scored deliverable in each of the quiz, individual assignment, and group assignment categories. There will be no extra credit. Late work will not be accepted.

Category	%
MBA Math	2
Class Participation	8
Quizzes	10
Individual Assignments	15
Group Assignments	25
Mid-term Exam	15
Final Exam	25
TOTAL	100

Final letter grades are derived from final scores using the scale shown to the right. I reserve the right to scale grades at the end of the course. Any scaling will be done to achieve a grade distribution that matches guidelines for the MBA program.

90% or higher	A
80% – 89%	B
70% – 79%	C
60% – 69%	D
less than 60%	F

5.1 Quizzes

There will be a quiz at the end of each module. Each quiz will be administered via Canvas and will be multiple choice. They will cover material from both the textbook and lectures. The aim of each quiz is to promote your understanding of class concepts and to check on the development of skills.

5.2 Individual Assignments

There will be three individual assignments. You are required to turn in your own deliverable for these assignments, though you are encouraged to work in groups. These assignments are designed to help you apply skills developed in class.

5.3 Group Assignments

There will be four group assignments. These assignments are designed to promote meaningful discussion and work between group members. You will apply both concepts and skills to these assignments. You will work in groups previously assigned by the MBA office.

5.4 Exams

There will be one mid-term exam and one final exam. The final exam will be comprehensive. The exams will be administered in class on the dates scheduled. The mid-term exam will be 60 minutes in length. The final will be 90 minutes. Both exams will require the use of a computer. You are responsible for ensuring that you will be able to have a computer with excel capabilities in class on the exam dates. The exams are closed book exams. You may not use notes either. Only in *extreme circumstances* will the instructor consider rescheduling these exams.

6 Expectations

6.1 Instructor

The instructor is expected to begin class on time and to be prepared to deliver lectures and answer questions regarding the scheduled topics. The instructor is also expected to hold regular office hours and to be responsive to student emails.

6.2 Students

Students are expected to attend class and participate in lectures. Students are expected to read the materials from the textbook before class and to reference them as necessary after class. Students are expected to be conversant in current financial news. It is expected that students are self-motivated, self-organized, and respectful. Students are expected to fully participate with their group. Finally, students are expected to put forth effort on all assignments and exams, and to complete assignments on time.

7 Other Details

7.1 Aggie Honor Code

"An Aggie does not lie, cheat, or steal or tolerate those who do."

7.2 Americans with Disabilities Act Policy Statement

The Americans with Disabilities Act (ADA) is a federal anti-discrimination statute that provides comprehensive civil rights protection for persons with disabilities. Among other things, this legislation requires that all students with disabilities be guaranteed a learning environment that provides for reasonable accommodation of their disabilities. If you believe you have a disability requiring an accommodation, please contact Disability Resources at Texas A&M University.

7.3 Phone and Laptop Policy

Phone use is not permitted in class. Laptops are allowed.

7.4 Prohibition of Recording

To encourage open, honest, and transparent discussions, all of us must have an expectation of privacy during the course of the semester. To this end, you are not authorized to make an audio, video, or photographic record of any person or occurrence that happens within the classroom.

7.5 Copyrights

All lectures and course materials (including syllabus, slides, assignment, quizzes, tests, and similar materials) are the intellectual property of the instructor. Students may print and make copies for their own use. However, students are not authorized to share, reproduce, distribute, or otherwise make public (online or elsewhere) these course materials without the written consent of the instructor.